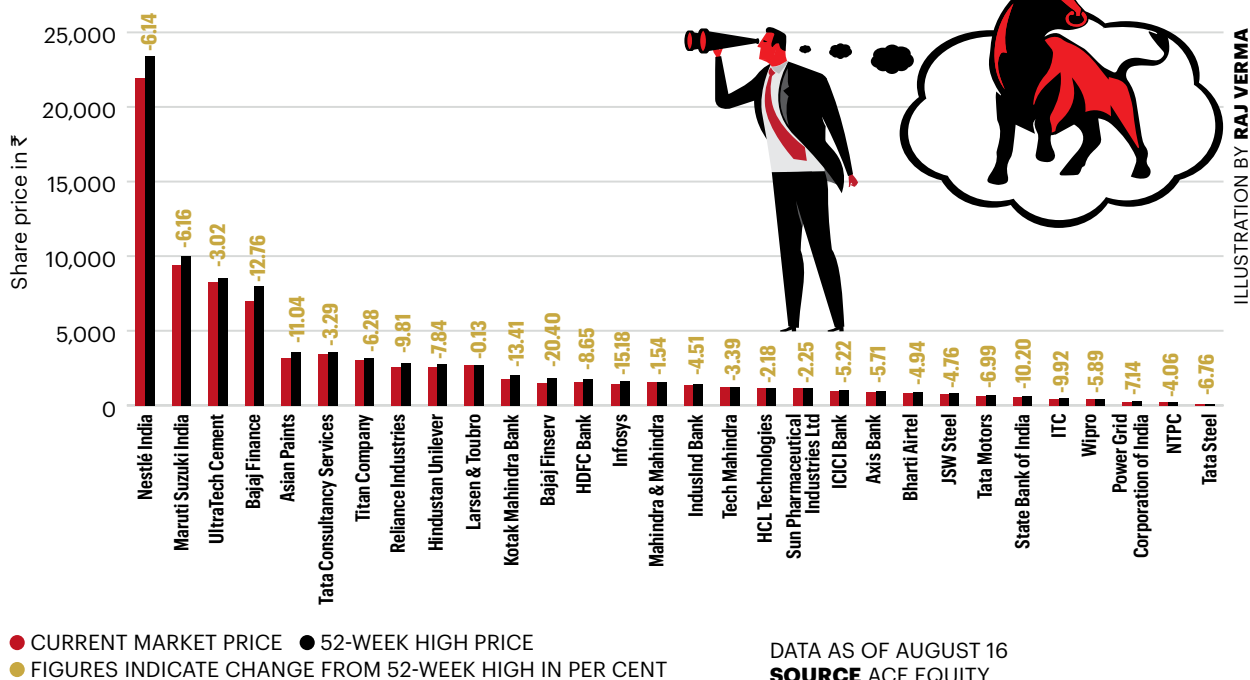


TAKING STOCK

A look at how far the companies in the benchmark Sensex are from their respective 52-week highs



itability,” the report adds.

Discretionary spending is also a big positive on the list of most experts, due to which they are bullish on sectors that stand to benefit from such spending. Citing capital expenditure in sectors such as industrial, capital goods, infrastructure and cement, Sneha Poddar, AVP of Research, Broking and Distribution at Motilal Oswal Financial Services, says financials, automobiles and consumption will also show growth.

“In the case of auto, all the categories are expected to see growth as the festive season approaches, and rural demand is expected to see an improvement on the back of normal rains, better crop realisation, and easing in-

EXPERTS SAY THAT WHILE THERE ARE QUITE A FEW HEADWINDS, THERE ARE A NUMBER OF POSITIVES AS WELL THAT CAN KEEP THE MOMENTUM GOING

flation worries,” she says, adding that the capex theme will continue its dream run with the government’s strong thrust on infrastructure development, and the green shoots visible in private capex.

In terms of sectors, most experts are confident about real estate, building materials, capital goods, banking and financials, industrials, consumer durables, speciality chemicals, fast moving consumer goods (FMCG) and pharmaceuticals, at the current juncture. They cite the strength of the Indian economy as the reason.

“India’s macros are in good shape,” says V.K. Vijayakumar, Chief Investment Strategist of Geojit Financial Services. “The economy is in a sweet spot. The banking sector is in the pink of health, the corporate sector is deleveraged, private capex has started, and CAD (current account deficit) and FD (fiscal deficit) are under control. India has been the fastest growing large economy in the world in 2021 and 2022, and it will continue to be the fastest growing large economy for many years to come.”

Separately, sectors that most experts advise one to be careful about include IT and IT services, metals, utilities and commodities. To be sure, most of them say